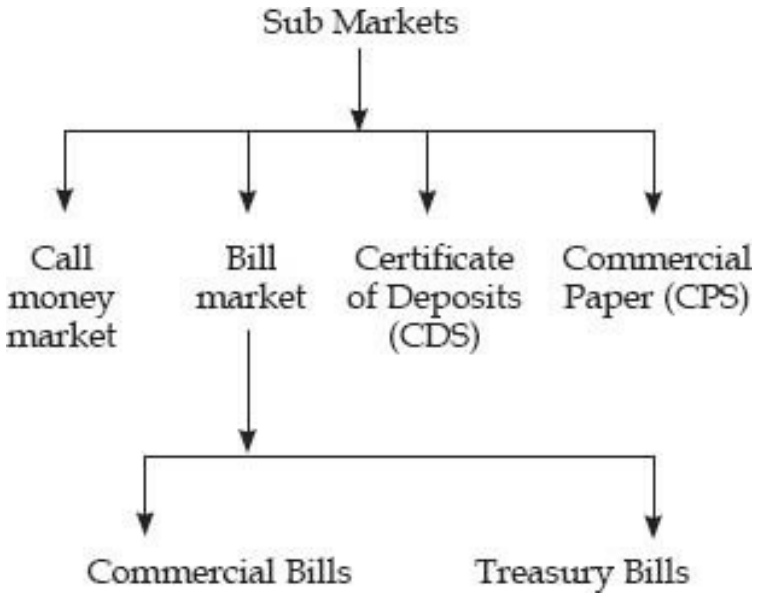


Call Money Market

It is also known as money at call and short notice market. It deals in loans for a period ranging from one to 14 days. It is an inter-bank borrowing and lending market. One bank demands money from another bank to cover its cash reserve requirements with RBI every fortnight and to gain from foreign exchange market. The rate at which funds are borrowed in these markets is called call money rate.

It has two segments. They are as follows:

The Call Market (or) Overnight Market

It is a market for borrowing and lending of money between banks within one day.

Short Notice Market

It is a market, for borrowing and lending of money between banks up to 14 days.

Bill Market (or) Discount Market